NVIDIA NVDA

NasdaqGS · Technology · Semiconductors · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
203.86	186.64	+9.2%	+10.3%	4,506.8bn	1.2%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.23	USD	DO USD 2.16

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 203.86, against a price of USD 186.64, 23% below the 52-week high. The market prices a slowdown in AI spending, yet Q2 revenue doubled to USD 96.2bn and the company guides USD 108bn for Q3, without China [1]. At 11.7x forward earnings, against 20.6x for peers, the leader trades below the group.

MARGIN OF SAFETY AND ALPHA

Margin of safety +9.2%, alpha +10.3% a year (IR 0.23), assuming the gap closes within one year.

CATALYST

Q3 FY2027 results and Q4 guidance · `17 Nov (company)`. Set by the company for 17 Nov, after the close [2]; the quarter ended on 25 Oct. A quarter at or above the USD 108bn guide, with Rubin in full production [1], would show that demand is not slowing and move the price towards fair value.

DECISION

Long candidate. We buy, although the margin of +9% is below our 25% rule: the comparables (USD 254.31) and analysts (USD 327.14) see more, and a dated report can close the gap. Its high residual risk keeps the Treynor-Black weight small.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

NVIDIA returns cash mostly through buybacks: USD 39.0bn in the first half against USD 6.3bn of dividends [1]. So we discount dividends plus buybacks (cheat sheet p. 2). Two stages, because growth is far above what any company can keep forever: 40.0% for 8 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 24.98: one rate cannot fit a company growing this fast. P/B (19.68x) says little, as its value is in chip designs and software, not on the balance sheet. Peers are smaller and differently built, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 186.64	Close 06.11.26, not adjusted
D_0, dividend	USD 2.16	Dividends, 12 months + last FY buybacks per share
β	1.58	Bloomberg BETA
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	11.89%	CAPM
g_1, first stage	40.0%	Bloomberg, long-term EPS growth (LTG)
T, years	8	Years of above-trend AI demand; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 24.98	–87% vs price
Two-stage value	**USD 203.86**	**+9% vs price; 74% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
10.89%	216.26	226.61	238.28	251.52	266.68
11.39%	200.99	209.95	219.98	231.28	244.12
11.89%	187.37	195.17	**203.86**	213.58	224.53
12.39%	175.15	181.99	189.56	197.97	207.40
12.89%	164.15	170.17	176.79	184.13	192.29
Upside	+0%	+5%	+9%	+14%	+20%

Two-stage DDM value, USD. Shaded: at or above the price of 186.64. Dark: base case. Upside at the base k.

The DDM stays above the price in 19 of 25 cases. It falls to the price if k rises by about 0.6 point or g2 falls by 1 point: the margin is thin, and the value rests on the long growth phase.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

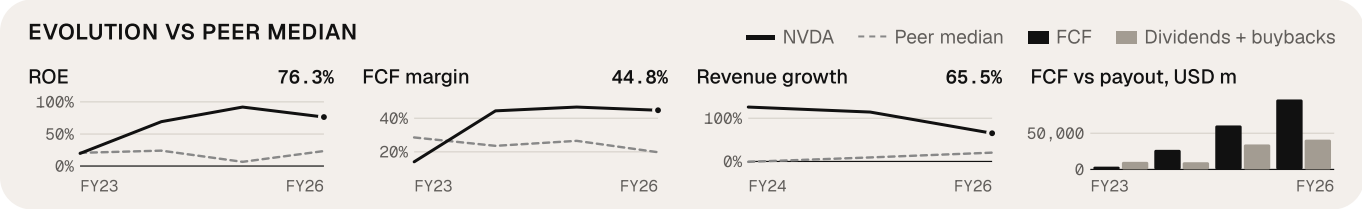
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
AVGO Broadcom	1,402.0	15.1x	52.1x	27.5x
AMD Advanced Micro Devices	736.5	25.5x	n/m	65.5x
QCOM QUALCOMM	177.0	13.2x	20.5x	17.4x
MRVL Marvell Technology	127.0	19.2x	91.3x	43.9x
TXN Texas Instruments	253.6	24.0x	97.4x	24.2x
ADI Analog Devices	176.2	22.0x	41.2x	26.4x
Peer average		**19.8x**	**60.5x**	**34.2x**
Peer median		**20.6x**	**52.1x**	**27.0x**
NVDA NVIDIA	**4,506.8**	**11.7x**	**46.6x**	**22.2x**
Implied price at peer average		315.70	242.15	286.08
Implied price at peer median		328.24	208.55	226.14

Comps value USD 254.31 (+36%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY26	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND
Profitability	ROE	76.3%	23.6%	60.3%	better	improving
Profitability	ROA	58.1%	12.7%	40.4%	better	improving
Profitability	FCF margin	44.8%	19.8%	35.0%	better	improving
Growth	Revenue growth	65.5%	20.4%	120.0%	better	worsening
Growth	Gross margin	71.1%	55.1%	68.2%	better	improving
Safety	Debt / equity	0.07	0.42	0.31	better	improving
Payout	Payout / FCF	0.42	1.15	1.23	better	improving

Earnings test: adjusted EPS 4.77 (FY26) → 9.31 → 15.91 (forward): rising. Trailing GAAP EPS of 7.91 includes one-off items.



PASS **No red flags, earnings rising: pass.** No red flag: returns, margins and FCF beat the peers and keep improving, and debt is almost nil. Revenue growth slows from a very high base, still far above peers. Capital goes back to shareholders, with USD 99bn of buybacks still authorised [1]. **Not a value trap.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+10.3%	0.23
Gap never closes	α never = $D_1 / P_0 + g - k$	−7.7%	−0.17
Used: closes in 1 year	**Goes into Treynor-Black**	**+10.3%**	**0.23**

The Q3 results of 17 Nov [2] fall inside the window, so we assume the gap closes within a year (α closed). The comparables give USD 254.31, so the DDM is the cautious value. IR 0.23, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: AI SPENDING AND THE INPUTS

Revenue rests on the capex of a few cloud and AI customers: a cut would hit growth fast, and China is out of the guide [1]. g1 is per-share growth and the payout includes buybacks, so they count twice: the DDM is an upper bound on these inputs.

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

The quarterly dividend is now USD 0.25 [1], but D0 counts the last 12 months, so the DDM understates it. At β = 1 the DDM gives USD 316.68, and analysts' target is USD 327.14. Founder-CEO Jensen Huang has led it since 1993; no activist route at this size.

[1] NVIDIA, Q2 FY2027 results, 26 Aug 2026. [2] NVIDIA, Q3 FY2027 conference call, 28 Oct 2026. Market data: Yahoo Finance and FRED, downloaded 07.11.26.